

Multiple Choice

1. **Answer:** C

Options: A) Bill rate is 7.70%, Coupon issue yield is 8.50%; B) Bill rate is 8.50%, Coupon issue yield is 8.24%; C) Bill rate is 7.96%, Coupon issue yield is 8.24%; D) Bill rate is 8.24%, Coupon issue yield is 8.50%; E) Bill rate is 8.24%, Coupon issue yield is 7.96%

Note: Correct option: C - Bill rate is 7.96%, Coupon issue yield is 8.24%

2. **Answer:** A

Options: A) $P = MC$.; B) Perfect competition.; C) Efficiency.; D) Inelastic demand.; E) $P = MR$.

Note: Correct option: A - $P = MC$.

3. **Answer:** A

Options: A) A government regulation.; B) An increase in supply.; C) A government tax.; D) A government fine.; E) A decrease in demand.

Note: Correct option: A - A government regulation.

4. **Answer:** C

Options: A) price = marginal revenue.; B) price = minimum average cost.; C) price = minimum average variable cost.; D) price = marginal cost.

Note: Correct option: C - price = minimum average variable cost.

5. **Answer:** A

Options: A) Net exports and GDP both fall.; B) GDP falls and there is no change in net exports.; C) Net exports rise and there is no change in GDP.; D) Net exports and GDP both rise.; E) Net exports rise and GDP falls.

Note: Correct option: A - Net exports and GDP both fall.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Americans consumed more than they produced.'

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Capital, commodities, and currency'.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Levels of incomes in foreign nations'.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '8 years'.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** the marginal social benefit exceeds the marginal social cost.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** The consumer's burden of the tax rises as the demand curve is less elastic.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key